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The new institutional treasury stack

Compliance before the funds move



Table of contents

The trapped capital bottleneck	4
The institutional inflection point	6
The risk dilemma	8
The infrastructure layer	11
What happens between “pay” and “paid”	14
Conversion and liquidity routing	16
The compliance layer	18
The Travel Rule problem	22
The joint blueprint	24
Where Sumsub fits in	27
Where AlphaPoint fits in	30

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Introduction

Between the last correspondent cut-off on Friday and the first opening on Monday, your working capital exists and cannot be moved. It is on the balance sheet. It is in a bank. It is also unavailable to the supplier who invoiced you on Wednesday.

Cross-border wires take from one to five business days, depending on jurisdiction, correspondent route, currency pair, sanctions review, and local banking hours. Funds get staged in local accounts before anyone needs them. Fees arrive from the sending bank, the intermediary bank, the FX spread, and the provider, in an order nobody can predict at initiation.

None of this is a technology problem. Nobody has been unable to build a faster wire.

Three days between initiation and finality is also three days in which a payment can be recalled, an address re-checked, and a compliance officer can catch what an automated screen missed. Slowness was a control, and nobody credited it as one.

Stablecoin rails remove those three days. A payout confirms in seconds and cannot be unwound by a phone call to a correspondent bank. Every institution moving treasury on-chain gives up accidental control and needs deliberate control in its place, running before execution, because after execution there is nothing left to decide.

This report looks at where payment risk shows up after approval, why point-in-time identity checks miss it, and what an integrated trust and movement layer looks like in practice.

The trapped capital bottleneck

Where the working capital goes

Imagine: your logistics vendor in Manila has invoiced US$500,000, net 30. Today is day 28.

On traditional rails, that payment meets, in roughly this order:

1 A cut-off window	Initiate after the correspondent's deadline, and nothing moves until the next business day. On a Friday, that means Monday. In a holiday week, Tuesday
2 A pre-funded balance	Funds staged with a local bank in the Philippines left your control weeks ago and have earned you nothing since
3 A correspondent route you did not choose	Intermediary banks add fees and sanctions review time, neither visible at initiation
4 A reconciliation problem	Bank statement, payment record, ERP entry, and vendor confirmation arrive at four different times and get matched by hand

A team running payouts into eight markets holds local currency balances across multiple banks, jurisdictions, and providers at once, so the honest answer to “what is our available liquidity right now” is a spreadsheet assembled this morning.

At a 1% all-in cost, US$5 million per month in payout volume comes to US$50,000 per month in fees. That’s your floor. Bank fees, intermediary fees, FX spreads, and provider fees compound differently across corridors.

The institutional inflection point

Stablecoins increased their share of crypto transactions by number from 31% in 2024 to 36% in 2025. Five points in one year runs below a stampede and well above an experiment.

Institutions are using dollar-pegged stablecoins for work they were already doing, with the waiting removed:

- Cross-border vendor and supplier payments, especially where USD access is valuable or local rails are slow
- Contractor and payroll disbursement for global teams, needing batch payouts, beneficiary management, approvals, and reconciliation exports
- Merchant and platform payouts across many recipients and jurisdictions at once
- Intercompany rebalancing between entities, regions, and markets
- Client-facing treasury services offered by banks, PSPs, fintechs, and exchanges on multi-tenant infrastructure

A bank offering stablecoin receiving, invoicing, payouts, and fiat conversion to its own corporate clients has put a product in market. Its compliance obligations now reach its clients' counterparties as well as its own, and the buyer is no longer the treasury team.

The risk dilemma

23% of firms are fully ready for the Travel Rule and FATF Recommendation 16, 28% are working toward it, and 43% are uncertain. Four in ten cannot tell you whether they would pass an inspection.

March 2026: a South Korean exchange was fined US$24.6 million for AML and verification failures, with a six-month partial operational suspension. That is the penalty that reaches a CFO.

Inside a bank, PSP, fintech, or corporate treasury, the argument runs along predictable lines.

Pushing for adoption

CFO and Treasurer
Working capital, settlement speed, treasury control

Head of Payments
Corridor expansion, less correspondent dependence

COO
Fewer manual steps, better exception handling

Digital Assets Lead
Client-facing stablecoin products

Deciding whether it happens

CRO
counterparty and jurisdictional exposure, unhosted and mixer-linked wallets

CCO
KYB completeness, sanctions depth, Travel Rule data exchange, auditability

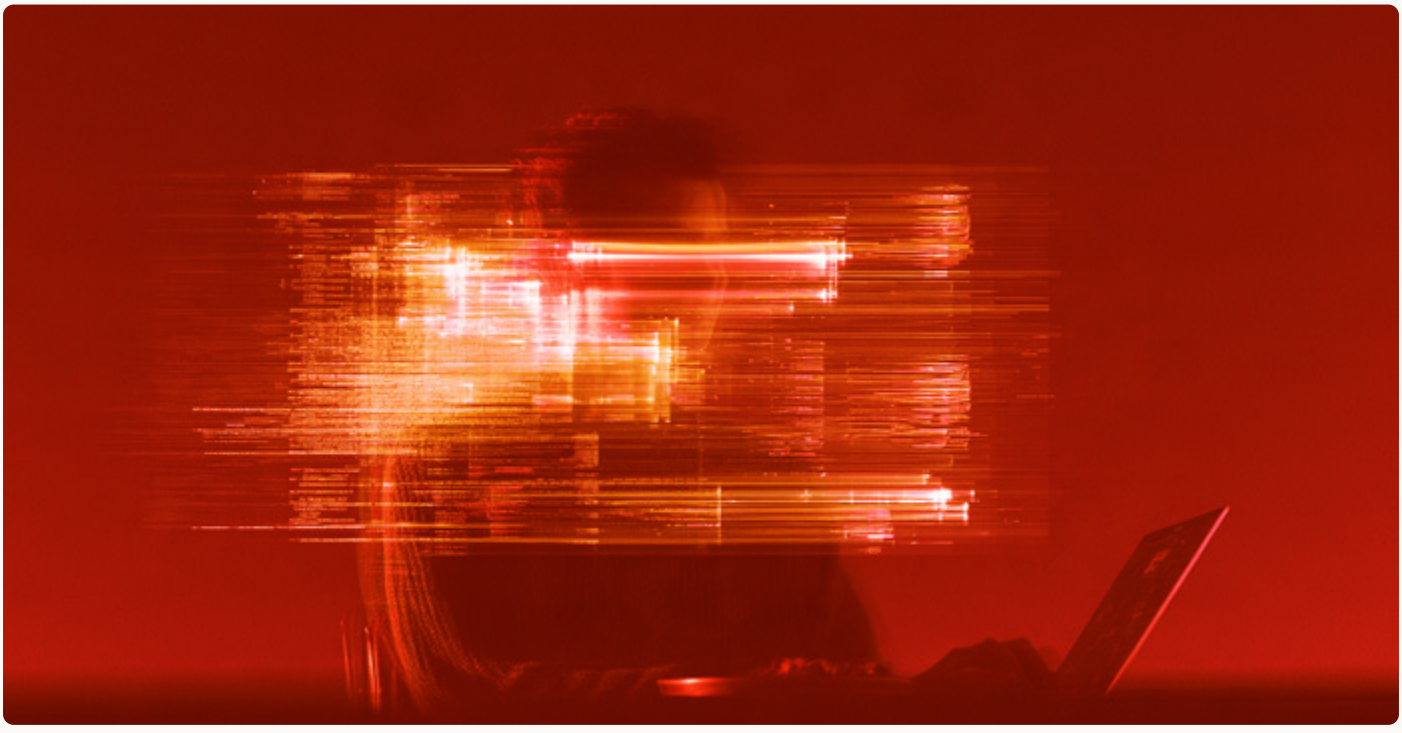
CISO
key management, wallet permissions, signing controls

Legal
stablecoin classification, licensing, disclosures

Controller
Reconciliation, ledger accuracy, audit trail

A stablecoin project fails in the second group and gets buried by the third. 55% of crypto businesses reported fraud in 2025, and 74% of compliance leaders now put screening accuracy ahead of speed.

A disciplined team could run these checks by hand at low volume. Now do it for 1,400 contractor payouts on the last business day of the quarter, with two new corridors and a beneficiary list that changed on Tuesday.



The infrastructure layer

Knowing the balance before committing the payment

Your US$500,000 has to come from a specific source. From a particular stablecoin, on a particular network, in a particular wallet, with enough left for the other 43 payouts scheduled today.

AlphaPoint Treasury provides one operating layer across supported stablecoins, chains, wallets, and workflows:

- Balances across supported assets and networks in one interface, so available liquidity is a number somebody reads off a screen
- Activity organized by treasury function: pay, receive, disburse, invoice, move liquidity
- Wallet movement, payment intent, approvals, history, and reporting connected to each other
- Recipients tied to approved addresses, assets, networks, and compliance status
- Roles, approvals, limits, whitelists, and policy rules

A beneficiary record carries a compliance status, so the Manila vendor exists in the system as a name, an address, a permitted asset, a permitted network, and a screening result with a timestamp. The compliance layer has appeared, and nobody has created a payment yet.

What happens between "pay" and "paid"

It all happens in roughly ten steps:

Step 1 → Payment intent created via interface, API, batch upload, or connected system

Step 2 → Beneficiary selected or created, with entity details, address, asset and network instructions, and compliance status

Step 3 → Compliance checks triggered through Sumsub: KYB and KYC, AML, transaction monitoring, sanctions, wallet risk, Travel Rule

Step 4 → Policy engine evaluates role, approval rules, amount, velocity limits, beneficiary status, whitelist status, and asset rules

Step 5 → Liquidity check confirms funds in the required asset and network, or flags conversion

Step 6 → Approval completed through maker and checker or signer rules

Step 7 → Transaction signed and executed through configured custody infrastructure

Step 8 → Status monitored from submitted through pending, confirmed, failed, held, or rejected

Step 9 → Ledger and audit records created: initiator, approver, beneficiary, compliance result, asset, network, amount, timestamp, hash, status

Step 10 → Records exported for reconciliation, ERP, and reporting

Steps 3 through 6 all happen before step 7. A payment that should not have gone out gets stopped at one of them, and nobody investigates it afterward, because there is nothing left to investigate.

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Scott Bambacigno,
CEO & Co-founder

"Financial institutions should not have to choose between faster payments and stronger controls. They need compliance checks and approvals built into the payment workflow before funds move, with a clear audit trail through settlement. That is the standard we designed AlphaPoint Treasury to meet."

Conversion and liquidity routing

The vendor wants pesos in a local account, or USDC on Polygon, or USDC, while their bank wants pesos. Each is a different settlement path, and choosing between them by hand across eight corridors is how treasury teams end up maintaining four exchange relationships and two OTC desks.

AlphaPoint Liquidity routes across market makers, providers, and venues, sources pricing through available channels to reduce slippage, and determines the required asset, network, and whether conversion is needed before execution. Fiat-to-stablecoin and stablecoin-to-fiat flows run where enabled.

Capability depends on jurisdiction, provider setup, on- and off-ramp partners, custody model, supported assets, and deployment. Two clients on the same platform have different corridors open to them. Ask for the corridor list in writing, and ask which of them went live this year.

How the US$500,000 gets approved

Role-based access, maker-and-checker workflows, approval thresholds, velocity limits by size, volume, or beneficiary, whitelisted addresses, permitted assets and networks, and audit logging of the initiator, approver, policy applied, and compliance result.

Your payment crosses a threshold, so it needs a second signer. It goes to a whitelisted address. It is the fourth payment to this vendor this month, so it hits a velocity rule a clerk cannot override alone. None of that depends on someone remembering the policy that day.

The compliance layer

Verifying the entity

The Manila vendor is a company. Somebody owns it. Before the first payout, what matters is whether that ownership survives a sanctions list. What matters on the fortieth is whether the answer has changed.

A check that clears entities in 15 seconds and sends a third to manual review has moved the cost onto a compliance team of six, who then become the constraint on corridor expansion. At roughly 90% clearing automatically, exceptions stay exceptions.

Raenest, a cross-border payments fintech, automates more than 80% of its verification checks. Approval rates rose 55%. Onboarding runs 60% faster.

The automation figure governs treasury. It sets how many corridors a compliance team can carry before headcount becomes the limit on expansion.



alphapoint



Scott Bambacigno,
CEO & Co-founder

"Entering a new market is not the same as being ready to operate there. Institutions need controls that scale with the business, automating routine checks so their teams can focus on the risks that require judgment. Security and compliance should be foundations for growth, not gaps to close afterward."

An address clean in January can receive funds from a sanctioned mixer in March. Screening a wallet once at beneficiary creation and treating the result as durable is the most common design error in on-chain treasury workflows, and it fails silently.

Crypto Monitoring scores counterparty addresses across 350+ blockchains for sanctions exposure, mixer and darknet links, and unhosted wallet flags before a payout executes. Results aggregate across Chainalysis, Elliptic, TRM Labs, Merkle Science, Crystal, and Cyvers. Analytics vendors disagree, and a single-source score inherits one vendor's blind spots without saying so.

Eight of the top ten crypto exchanges globally use Sumsub, at volumes far above anything a corporate payout program generates.

When the pattern is the only signal

A single US$500,000 payout to a screened vendor is unremarkable. Forty payouts of US$12,500 to forty beneficiaries created this morning, all resolving to the same chain, is a pattern, and no entity-level check catches it because every individual entity is fine.

Transaction Monitoring screens against 600+ configurable risk scenarios covering velocity, volume anomalies, and origin and destination risk. Rules configure without code, so you can change a threshold in an afternoon. Monitoring runs across the entire transaction lifecycle, the only arrangement that works when payouts run at 2 a.m. on a Sunday.

The Travel Rule problem

Recommendation 16 requires originator and beneficiary information to travel with a transfer between virtual asset service providers. Satisfying it requires the counterparty VASP to be discoverable, reachable over a protocol you both support, and willing to exchange personally identifiable information over an encrypted channel. Miss one and the transfer fails or completes non-compliantly.

A provider connected to one protocol reaches counterparties on that protocol, and no others, so your compliant corridor list becomes a function of your vendor's integrations. CODE reaches Korean counterparties. Sygna covers Japan and Taiwan. Sign with a single-protocol provider and those corridors stay closed until that provider adds them, on its timeline.

Recommendation 16 readiness is the largest self-reported gap in the industry, and it is a gap in connectivity and data handling. Nobody is short on intent.



The joint blueprint

AlphaPoint holds the payment intent, policy rules, liquidity position, and signing keys. Sumsub holds the screening. An API and webhook call connect them at each checkpoint: organization onboarding, user onboarding, beneficiary creation, wallet address entry, payment initiation, pre-execution review, and post-transaction monitoring.

AlphaPoint sends entity ID, beneficiary ID, wallet address, asset and network, amount, originator and beneficiary information, jurisdiction, purpose, prior compliance status, and Travel Rule status. Sumsub returns a structured decision, meaning pass, hold, high risk, or block, plus a risk score. AlphaPoint's policy engine reads it alongside its own treasury rules.

The decision is AlphaPoint's. The evidence is Sumsub's. A compliance provider that could release funds would be a custody risk, and a treasury platform scoring its own counterparties would be marking its own homework.

A high-risk result returns as an explicit block or hold; a soft warning is not an option. Policy then decides: block before execution, hold pending review, escalate to a senior signer, or restrict the beneficiary so one result governs every future payout to that address.

The US$500,000, end-to-end

Intent
ERP or treasury software initiates it, or an operator uploads it in a batch of 44.

Pre-flight screening
Entity checked against registry, sanctions, and adverse media data. Address scored across 350+ chains. Transaction evaluated for velocity.
Travel Rule query where the counterparty is a VASP.
Roughly 15 seconds

Policy and approval
Second-signer threshold, whitelist and compliance status, permitted asset and network, velocity limit, liquidity check. The maker cannot self-approve

Execution
Signed through custody, settled on-chain in seconds, unrecallable

Record
One row: initiator, approver, policy rule, compliance decision ID, risk score, hash, status.

Where Sumsub fits in

Sumsub is a single verification platform built around exactly this kind of integrated workflow. With about 10 years in market, more than 4,000 clients, over 200 million individuals verified to date, and more than 690,000 fraud attempts prevented every month, Sumsub draws on a database of 2.3 million known fraudsters. One shared data layer covers user verification, business verification, AML transaction monitoring, fraud prevention, and Travel Rule compliance.

For a financial services platform, the pieces that matter most:

User Verification	ID Verification, Non-Doc Verification, Address Verification, and Source of Funds and Source of Wealth checks
Fraud Prevention	Identity fraud, multi-accounting, account takeovers, payment fraud, and money mule detection
AML Transaction Monitoring	Real-time monitoring with 300+ ready-to-use risk scenarios, dynamic risk scoring, and FIU report generation in formats like goAML, STR, and SAR
AML Screening	50,000+ global data sources screened in under a second, with up to 95% of matches resolved with AI assistance and false positives cut by 60%
Case Management	Pre-built Blueprints for KYC cases, screening hits, and suspicious activity, with checklist enforcement and audit trails

One platform handles every compliance pillar, regulator-facing reporting is built in, and integration takes hours rather than months.



Where AlphaPoint fits in

AlphaPoint is the treasury layer underneath compliant stablecoin operations. It runs unified balance visibility, automated payouts, liquidity routing, and a policy engine that governs every movement, so finance teams can hold stablecoins as operating cash without assembling a patchwork of exchange, custody, and OTC relationships.

What that delivers for a treasury team:

Visibility	Payout	Liquidity	Governance
Fiat and stablecoin balances across accounts, custodians, networks, and counterparties in one interface, with ledgering that connects payment intent, approvals, history, and reporting	Programmatic disbursement to international suppliers, contractors, and partners, with batch processing, beneficiary and whitelist management, and settlement in seconds on supported networks	Fiat-to-stablecoin and stablecoin-to-fiat conversion routed across market makers, providers, and venues, so treasury users are not managing several exchanges and OTC desks by hand	Role-based access, maker and checker approvals, thresholds, velocity limits, and audit logging of initiator, approver, policy applied, and compliance result against every payment

Founded in 2013 and backed by a Series A led by Galaxy Digital, AlphaPoint has powered more than US$1 trillion in transaction volume for over 150 customers across 35 countries, among them exchanges, brokerages, payment networks, and banks.

Keep your business compliant and safe as you scale

Screening tells you what is known about a counterparty now. Counterparties change after clean results, which is why re-screening matters more than the accuracy of any single check. Together, the two layers move the decision to the only point where a decision is still available.

After execution, there is nothing left to decide. Only a record remains, and it either answers the auditor's question or it does not.

Sumsub is the first AI-powered trust infrastructure for compliance operations at scale. It connects identity and business verification, fraud prevention, transaction monitoring, and risk workflows to help teams reduce manual work and enter new markets.

Trusted by over 4,000 clients across financial services, crypto, mobility, trading, marketplaces, education, and iGaming, including Bybit, Bitpanda, Wirex, Avis, Vodafone, Duolingo, Kaizen Gaming, and Bancaribe.

AlphaPoint

Founded in 2013, AlphaPoint gives banks, financial institutions, exchanges, and brokerages the trading, treasury, and liquidity infrastructure to run regulated digital asset markets at institutional scale, tested under real volume with over $1 trillion processed in production across 150+ customers in 35 countries.

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